SUMMER TRAINING PROJECT REPORT

AT

“Assessing Efficiency, Competitiveness, and AI Potential in Public Sector Banking”

AT

Bachelors in management studies

Session (2025-2029)

IIM SIRMAUR
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Indian Institute of Management, Sirmaur

Submitted by
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BMS25097
B.M.S-1st Year

BONAFIDE CERTIFICATE

BANK OF INDIA
Zonal Office, Gorakhpur | Uttar Pradesh

CERTIFICATE OF INTERNSHIP COMPLETION

This is to certify that

Prakhar Mani Tripathi

Student, Bachelor of Management Studies (BMS) - IIM Sirmaur, Himachal Pradesh

has successfully completed a Summer Internship at **Bank of India**, Retail Business Centre (RBC) & SMEUC, Gorakhpur, from **June 2026 to July 2026**.

The internship project was titled:

" Assessing Efficiency, Competitiveness, and AI Potential in Public Sector Banking "

During the internship, **Prakhar Mani Tripathi** demonstrated initiative and analytical capability across credit appraisal, workflow automation, business development, and strategic financial research. His conduct and commitment throughout the internship were found to be **satisfactory**.

We wish him the very best in his academic and professional endeavours.

.....

Mr. Koashal Kumar
Zonal Marketing Head
Bank of India, Zonal Office
Gorakhpur, Uttar Pradesh

Declaration

I, Prakhar Mani Tripathi student of BMS 1st year, Indian Institute of Management, Sirmaur hereby declare that the report on the Summer Training Project report entitled **"Assessing Efficiency, Competitiveness, and AI Potential in Public Sector Banking"** is a result of my own work.

I declare that this submitted work is done solely by me and to the best of my knowledge, no such work has been done by any other person for the award of an undergraduate degree or diploma.

I also declare that all the information collected and used from various secondary sources has been duly acknowledged in this project report.

Prakhar Mani Tripathi
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Acknowledgement

It was not possible to prepare a report without the assistance and encouragement of other people. Every work involves efforts and inputs of various kinds and people, and thus I am thankful to all those people who have helped me throughout the completion and accomplishment of Project report entitled **"Assessing Efficiency, Competitiveness, and AI Potential in Public Sector Banking"**

I would like to express my sincere thanks to Mr. Ashish Sharma **(**Zonal Manager, Gorakhpur**)** of Bank of India for giving this opportunity and finding me capable enough to do this work.

I owe profound sense of regards and gratitude towards Mr Koashal Kumar(Zonal Marketing In charge) who has continuously guided and supported me in all the tasks by giving me this opportunity to have enriching learning experience about banking operations, financial analysis, and the application of technology in the banking and finance sector.

Thanking You
Prakhar Mani Tripathi
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PREFACE

Summer internships are an important part of professional education, both as a link between theory and actual business practices as well as an opportunity for experience in a corporate environment. The project provides an opportunity for the student to demonstrate application of their knowledge, skills and competencies required during the technical session.

This Summer Training Project report is based on a 45-day internship program that had been successfully completed at Bank of India, RBC & SMEUC, Zonal Office, Gorakhpur, under the Banking and Finance field from 09.06.2026 to 24.07.2026 as a voluntary initiative undertaken alongside the BMS program at Indian Institute of Management, Sirmaur. This internship was pursued with the objective of gaining firsthand exposure to banking operations, financial analysis, and the role of technology in public banking sector. The role of "Finance & Operations Intern" was undertaken during the internship. The report is a study of financial performance benchmarking of Bank of India against its PSU peers, as well as an assessment of how artificial intelligence can improve operational efficiency and profitability in public sector banks.

I have tried my level best to prepare this report as an authentic and error free report. However, I accept the sole responsibility for the errors and would be extremely grateful to readers of this project report if they bring any mistake to my notice.

EXECUTIVE SUMMARY

Research Context & Scope

- **Institution & Setting:** Bank of India, Retail Business Centre (RBC) & Small-Medium Enterprise Urban Centre(SMEUC), Gorakhpur. 30-day primary observation period with access to live loan processing workflows, credit appraisal files, and operational systems.
- **Two-pillar study:** (1) Competitive benchmarking of BOI against Bank of Baroda (leading peer) and Indian Bank (trailing peer) across FY2024–FY2026; (2) AI-driven operational transformation roadmap grounded in 6 workflow bottlenecks observed firsthand at the RBC.
- **Methodology:** Three-layer benchmarking framework - Observe → Compare → Infer - applied across 15 financial and operational metrics spanning profitability, operational efficiency, asset quality, and scale & growth.

Key Benchmarking Findings - FY2026

Metric	BOI Value	Position
Cost-to-Income Ratio	51.35%	Trailer
Business / Employee	₹33.30 Cr	Trailer
Net Profit Growth	+66.6%	Leader
Slippage Ratio	0.83%	Leader
Business / Branch	₹307 Cr	Leader

- **Structural gap:** BOI's Cost-to-Income Ratio (51.35%) is the highest in the peer group and Business per Employee (₹33.30 Cr) the lowest - both symptoms of manual, paper-dependent workflows consuming skilled officer capacity.
- **Recovery momentum:** Net Profit grew 66.6% YoY to ₹10,527 Cr, Slippage Ratio of 0.83% leads the peer group, and Business per Branch of ₹307 Cr is the strongest among peers - confirming the bank's growth trajectory is real but unevenly distributed.
- **Asset quality gap:** Net NPA of 0.56% vs. Indian Bank's 0.15%; PCR of 93.57% vs. Indian Bank's 98.28% - meaningful residual gaps that will take several years to close through credit discipline alone.

Operational Findings & AI Roadmap - 6 Bottlenecks Identified

- **Physical hardcopy workflow** - no OCR or digital indexing; officers manually search multi-page physical files for individual data points.
- **Manual memo data entry** - Probationary Officers re-type borrower financials into loan memos; 45–60 min per memo on mechanical work.
- **Incomplete branch submissions** - missing documents discovered only at RBC, triggering repeated branch-to-RBC cycles and extending TAT.
- **Internal IT system downtime** - no predictive monitoring or fallback protocol; failures cause complete operational halts with no warning.
- **Printer dependency & illegible output** - excessive printing depletes cartridges within a day; late-day documents are partially unreadable.
- **Manual portal switching** - officers navigate CIBIL, CERSAI, MCA21 separately for every file; no API integration exists in the loan processing interface.

Strategic Recommendations

- **Near-term:** Deploy RPA + OCR-based Document Management System; integrate CIBIL/CERSAI APIs directly into Finacle; implement pre-submission document validation portal at branches.
- **Long-term:** Establish an IBA-governed PSB-sector LLM platform integrating India Stack - shared across all 12 PSBs - converting collective PSU scale into a technology moat that private banks cannot replicate individually.
- **Internal:** Redirect freed officer capacity explicitly toward credit quality, client acquisition, and portfolio review; without deliberate reorientation, efficiency gains remain theoretical.

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PREMISE

Banking Industry Overview

1.1 Introduction

The banking sector is the cornerstone of any modern economy, acting as the primary channel through which savings are mobilized, credit is allocated, and monetary policy is transmitted. In India, this role is magnified by the sheer scale of the economy and the diversity of its population. The Indian banking system serves over 1.4 billion people across vastly different geographies, income levels, and digital access conditions, making it one of the most complex and consequential banking ecosystems in the world. Over the past decade, the sector has undergone a structural transformation driven by regulatory reform, technology adoption, and a decisive turnaround in the financial health of public sector banks, a turnaround that forms the backdrop for this report.

1.2 Structure of the Indian Banking System

The Indian banking system is regulated and supervised by the Reserve Bank of India (RBI), which was established under the Reserve Bank of India Act, 1934, and serves as the central bank, monetary authority, and primary regulator for all banks operating in the country. Under the RBI's framework, banks are broadly classified into Scheduled Commercial Banks (SCBs), Scheduled Co-operative Banks, Regional Rural Banks (RRBs), Small Finance Banks (SFBs), and Payments Banks.

Commercial Banks, the largest and most systemically significant category, are further divided into Public Sector Banks (PSBs), Private Sector Banks, Foreign Banks, and Regional Rural Banks. Public Sector Banks are those in which the Government of India holds a majority stake of more than 50 percent. As of 2025, there are 12 PSBs operating in India, with State Bank of India, Punjab National Bank, Bank of Baroda, Canara Bank, and Bank of India among the largest by total assets. Private sector banks, led by HDFC Bank, ICICI Bank, and Axis Bank, compete vigorously in the retail and digital segments. As of March 2025, total assets in the public banking segment stood at approximately ₹1,71,41,777 crore (approximately USD 2,005 billion), while private sector banking assets stood at ₹1,15,82,467 crore (approximately USD 1,355 billion), underscoring the continued dominance of PSBs in balance sheet size.

1.3 The Role and Significance of Public Sector Banks

Public Sector Banks occupy a unique and strategically important position in India's financial architecture. Beyond their commercial function, they serve as instruments of national policy,

channeling credit to priority sectors such as agriculture, MSME, education, and housing under mandated lending norms set by the RBI. They are the primary delivery mechanism for government schemes such as PM Jan Dhan Yojana, PM Mudra Yojana, Stand-Up India, and Kisan Credit Card, among others. Their branch networks, extending into semi-urban and rural India far beyond the reach of most private banks, make them indispensable to the government's financial inclusion agenda.

This structural role also gives PSBs a distinct competitive advantage in certain segments. Because they have privileged access to government databases and integration with schemes like Digi Locker, CERSAI, and the Jan Dhan infrastructure, they can offer products, particularly in agricultural and MSME lending, that private banks find difficult to replicate at comparable cost. This advantage is, however, contingent on PSBs building the technological capability to leverage these integrations efficiently, which remains a work in progress.

1.4 The Turnaround of PSU Banks: FY2021 to FY2025

The most significant story in Indian banking over the past five years has been the dramatic financial recovery of public sector banks, following a prolonged period of balance sheet stress caused by legacy non-performing assets (NPAs) accumulated during the credit boom of the early 2010s. The recovery has been broad-based and measurably sustained.

Gross NPAs of PSBs declined from 9.11 percent in March 2021 to a multi-year low of 2.58 percent in March 2025. Net NPAs fell to 0.52 percent in FY2024-25 from 1.24 percent in FY2022-23. The capital to risk-weighted assets ratio (CRAR) for Scheduled Commercial Banks stood at 17.4 percent at end-March 2025, well above the regulatory minimum. Return on Assets for PSBs improved from -0.22 percent in FY2017-18 to 1.37 percent in FY2024-25 and Return on Equity rose from -2.74 percent to 14.09 percent over the same period, a complete reversal from the era of losses. The combined net profit of all Scheduled Commercial Banks crossed ₹4 lakh crore in FY2024-25, with PSBs contributing a substantial share of this figure.

Total business of Public Sector Banks grew from ₹203 lakh crore in FY2022-23 to ₹252 lakh crore in FY2024-25, reflecting sustained credit and deposit growth. In a notable development, PSU banks outpaced private sector banks in credit growth for the first time in 14 years during this period, driven by competitive pricing in retail credit and aggressive expansion in MSME and home loan segments. The GNPA ratio of the overall Scheduled Commercial Bank sector declined to a multi-decadal low of 2.2 percent at end-March 2025 and further to 2.1 percent at end-September 2025, signaling continued asset quality improvement.

1.5 Digital Banking and the UPI Revolution

Alongside the financial turnaround, the Indian banking sector has witnessed a digital transformation of comparable magnitude. The Unified Payments Interface (UPI), launched by the

National Payments Corporation of India (NPCI) in 2016, has grown from processing 2 crore transactions in FY2016-17 to over 24,162 crore transactions in FY2025-26, with a transaction value of approximately ₹314 lakh crore. India now accounts for nearly 49 percent of the world's real-time payment transaction volume by count, a position built almost entirely on the UPI infrastructure.

The RBI's Digital Payments Index (DPI), a composite measure of payment digitalisation across the country, stood at 516.76 as of September 2025, rising sharply from 153.47 in March 2019. The RBI has articulated an ambition of reaching one billion unique UPI users by 2030 as part of its National Strategy for Financial Inclusion 2025-30, which also targets 100 percent digital payment coverage in all designated districts by March 2027. New innovations unveiled at the Global Fintech Festival 2025 , including AI-based UPI HELP, IoT-enabled payments, and Aadhaar face-authentication for UPI PIN setup , signal that the digital payments ecosystem will continue to deepen significantly. India's ATM and CRM network had grown to over 2,08,834 units across scheduled commercial banks as of February 2026, providing physical digital access points even in areas with limited smartphone penetration.

1.6 Artificial Intelligence and Technology Adoption in PSU Banks

Artificial intelligence and automation are emerging as the next frontier of banking transformation in India. The RBI has acknowledged in recent reports that enthusiasm towards AI-based technologies at many public sector banks is now broadly at par with private sector peers. PSB Manthan 2025, a high-level conference convened by the Finance Ministry bringing together banking executives and policymakers , placed AI-driven operational reform at the center of the PSU banking agenda. The Union Budget 2026 further designated digitalization in the financial sector as a key government priority.

Current AI applications in PSU banks span fraud and anomaly detection, credit underwriting and risk scoring, NLP-based KYC and regulatory compliance, AI-powered customer service chatbots, and digital loan journeys for retail and MSME customers. However, significant challenges remain. Legacy technology infrastructure, risk-averse organizational cultures, and a regulatory environment that is still developing its AI governance framework mean that PSU banks have been slower than leading private banks in deploying AI at scale. There is also a critical gap at the branch and middle-office level, where many of the efficiency gains from AI remain unrealized because workflows are still largely paper-based and manually intensive , a gap that this report directly examines through primary research conducted at Bank of India's Retail Business Centre, Gorakhpur.

1.7 Regulatory Environment

The RBI's regulatory framework has evolved considerably in response to the sector's transformation. Key developments include the tightening of NPA recognition and provisioning

norms under the Prompt Corrective Action framework, the introduction of the Internal Ratings-Based approach for capital computation under Basel III, the issuance of guidelines on digital lending, account aggregation, and the Open Credit Enablement Network (OCEN), and the development of a regulatory sandbox for fintech innovation. The repo rate was reduced to 5.5 percent in June 2025, along with a 25-basis point cut in the Cash Reserve Ratio, with the explicit aim of supporting liquidity and stimulating credit demand, providing a broadly supportive macro environment for the sector heading into FY2026.

1.8 Outlook

The Indian banking sector enters the latter half of the 2020s in its strongest financial position in over a decade. Falling NPAs, rising profitability, improving capital adequacy, and a supportive macro environment create the conditions for sustained credit growth. The digital infrastructure laid by UPI, Aadhaar, and the India Stack provides PSU banks with the raw material for a technological leap, provided they build the internal capabilities to exploit it. The challenge, and the opportunity, lies in translating balance sheet strength and policy intent into operational efficiency at the ground level. It is precisely this challenge, and how AI and technology can help meet it, that this report investigates.

COMPANY PROFILE: BANK OF INDIA

2.1 Overview

Bank of India (BOI) is one of India's oldest and most internationally connected public sector banks, headquartered at Bandra Kurla Complex, Mumbai. Founded in 1906 and nationalized in 1969, it has grown from a single office serving Bombay's trading community to a global institution operating across five continents. Listed on both BSE and NSE, the bank operates with the Government of India as its majority promoter. BOI is distinctive among PSU banks for combining a deep domestic rural and semi-urban presence with a substantial international footprint, a combination few Indian banks, public or private, replicate at comparable scale.

2.2 History and Key Milestones

Bank of India was founded on 7th September 1906 by a group of eminent Bombay businessmen including Sir Sassoon J. David and Sir Cowasjee Jehangir, with a paid-up capital of ₹50 lakh and 50 employees. Its first overseas branch opened in London in 1946, predating Indian independence. On 19th July 1969, the bank was nationalized alongside 13 other major commercial banks under the Banking Companies (Acquisition and Transfer of Undertakings) Act, transforming it from a commercially oriented urban institution into a vehicle of national development with a mandate

covering priority sector lending, financial inclusion, and rural credit. Notable firsts include the introduction of the Health Code System for credit portfolio evaluation in 1982, and the establishment of the first computerized branch and ATM among nationalized banks at its Mahalaxmi Branch, Mumbai, in 1989. The bank is also a founding member of SWIFT, reflecting its early integration into global financial infrastructure.

2.3 Vision, Mission and Organizational Structure

Bank of India's vision is to be the bank of first choice in its core areas by delivering world-class products and services supported by technology and a motivated workforce. Its mission is to provide superior, proactive, and cost-effective banking services domestically and globally while sustaining financial inclusion and profitability.

Operationally, the bank functions through a tiered structure of Zonal Offices, Retail Business Centers (RBCs), and individual branches. The RBC is the critical intermediate layer responsible for credit appraisal, loan sanctioning beyond branch authority, compliance monitoring, and coordination across a cluster of branches within a defined geography. The Retail Business Centre, Gorakhpur, where this internship was conducted, oversees BOI's branch network across the Gorakhpur division of Uttar Pradesh. As of FY2026, the bank operates 5,511 domestic branches and 22 overseas branches, with a staff strength of approximately 51,010 employees.

2.4 Financial Performance at a Glance (FY2024–FY2026)

Bank of India has demonstrated a sustained financial recovery over the three-year period covered in this report. Total global business grew from ₹13,23,515 crore in FY2024 to ₹16,98,662 crore in FY2026, a two-year CAGR of approximately 13.3 percent. Net profit rose from ₹6,318 crore to ₹10,527 crore, an increase of 66.6 percent, over the same period. Total assets expanded from ₹9,12,598 crore to ₹11,63,433 crore. Return on Assets improved from 0.70 percent to 0.93 percent and Return on Equity stood at 14.90 percent in FY2026.

Asset quality improvement has been one of the most visible markers of BOI's recovery. The Gross NPA ratio fell sharply from 4.98 percent in FY2024 to 1.98 percent in FY2026, while Net NPA declined from 1.22 percent to 0.56 percent. The Provision Coverage Ratio stood at 93.57 percent in FY2026, and the Slippage Ratio, measuring fresh NPA accretion, fell from 1.58 percent to 0.83 percent, indicating improving credit discipline across the book. The Capital Adequacy Ratio (CRAR) under Basel III was a comfortable 18.01 percent, well above the 11.5 percent regulatory minimum. The CASA ratio on a domestic basis was 37.64 percent in FY2026, an area the bank is actively working on improving through digital channel-led deposit mobilization. Net Interest Margin stood at 2.52 percent in FY2026, reflecting some compression from 2.97 percent in FY2024, which management has identified as a priority area for improvement.

2.5 Digital Banking Initiatives

BOI's digital strategy is anchored by the BOI Omni Neo mobile banking platform, which grew its registered user base from 90.46 lakh in March 2025 to 131.48 lakh in March 2026, a 45 percent year-on-year increase. UPI registered users stood at 2,71,24,278 as of March 2026. The bank launched a new Retail Internet Banking platform in February 2026 and has progressively digitized loan journeys across retail, MSME, and agricultural segments, including integration with the RBI Innovation Hub's Unified Lending Interface (ULI) for technology-driven agricultural credit. Total digital customer touchpoints, branches, ATMs, Cash Recycling Machines, and Business Correspondents , exceeded 38,000 as of FY2026. Despite this progress, a significant portion of branch and RBC-level workflows remain paper-based and manually intensive, which is the central problem addressed in the AI chapter of this report.

2.6 International Operations

BOI's international franchise spans 15 countries across Asia, Europe, North America, Africa, and the Middle East, with 47 offices including branches, subsidiaries, a representative office, and a joint venture at centers such as London, New York, Tokyo, Singapore, Hong Kong, Dubai (DIFC), and GIFT City Gandhinagar. International advances stood at ₹1,17,391 crore in FY2026 and international deposits at ₹1,26,828 crore, representing approximately 15 and 14 percent of the global book respectively. This international presence provides funding and geographic diversification and supports trade finance for Indian businesses , a differentiator that few mid-sized PSU banks possess.

SWOT ANALYSIS

3.1 Strengths

- 119-year institutional legacy with strong public trust, especially in semi-urban and rural India
- Vast domestic network of 5,511 branches and international presence across 15 countries and 5 continents
- Government-backed status provides implicit sovereign guarantee, lowering cost of funds
- Strong financial turnaround - Gross NPA declined to 1.98%, Net Profit grew 66% in two years, CRAR at a comfortable 18.01%
- Founding member of SWIFT, reflecting long-standing integration with global financial infrastructure

- Structural PSU advantage in government scheme delivery (PM Jan Dhan, Kisan Credit Card, Mudra) - private banks cannot replicate this access at comparable cost
- Integration with India Stack (Aadhaar, UPI, DigiLocker, ULI) enables technology-driven credit delivery at scale
- Growing digital platform - BOI Omni Neo registered users grew 45% YoY to 131.48 lakh in FY2026; UPI base at 271 lakh users

3.2 Weaknesses

- Net Interest Margin (NIM) at 2.52% in FY2026 lags peers - Indian Bank at 3.24%, Bank of Baroda at 2.89%
- Declining CASA ratio (41.33% in FY2024 to 37.64% in FY2026) signals weakening low-cost deposit mobilisation
- Return on Assets at 0.93% remains below the 1.0–1.4% benchmark of high-performing PSU peers
- **Key internship observation:** Probationary Officers at the Retail Business Centre, Gorakhpur spend a disproportionate amount of productive time drafting and filing loan memoranda (Home Loan, Vehicle Loan, Top-Up - 3 to 4 per day). This is skilled staff time absorbed by a mechanical, repetitive task that automation could handle - time that would be far better deployed in lead generation and credit appraisal, both of which directly drive revenue and asset quality
- Paper-heavy, manual workflows at branch and RBC level persist despite digital investments at the customer-facing layer
- Legacy technology infrastructure slows operational transformation relative to private sector peers
- Risk-averse PSU culture creates institutional friction against rapid technology adoption

3.3 Opportunities

- PSB Manthan 2025 and Union Budget 2026 signal strong government backing for PSU bank modernisation and digitalisation
- RBI repo rate cut to 5.5% and CRR reduction expected to stimulate credit demand, benefiting loan book expansion
- India's growing MSME sector and rural formalisation drive open significant credit opportunities where BOI's network has a natural edge

- India Stack maturation - Account Aggregator, OCEN, Unified Lending Interface - provides infrastructure for low-cost, data-driven digital lending
- AI, NLP, OCR, and RPA adoption at branch and RBC level offers immediate, high-return opportunity to cut operating costs and free up staff productivity without heavy capital expenditure
- Fintech partnership ecosystem expanding - BOI can integrate without building everything in-house
- UPI's target of 1 billion unique users by 2030 creates opportunity to deepen digital customer relationships

3.4 Threats

- Aggressive private sector competition from HDFC Bank, ICICI Bank, and Kotak Mahindra Bank in urban and semi-urban retail segments
- Fintech lenders and NBFCs encroaching on MSME and consumer credit - BOI's traditional strongholds
- Cybersecurity risk rising with digital expansion - RBI noted banking fraud amounts tripled to ₹34,771 crore in FY2024-25
- Talent attrition - attracting and retaining tech-skilled personnel within PSU pay constraints remains structurally difficult
- Agricultural and MSME portfolios carry cyclical and climate-related credit risk that could reverse NPA gains
- Regulatory compliance burden increasing with evolving RBI guidelines on digital lending, AI governance, and data localization.

Competitive Benchmarking

4.1 Peer Selection Rationale

This study benchmarks Bank of India against two Public Sector Bank peers - Indian Bank as the trailing peer and Bank of Baroda as the leading peer. The selection was governed by three criteria: regulatory homogeneity, scale proximity, and directional spread.

On regulatory homogeneity, all three banks operate under identical RBI prudential norms, priority sector lending mandates, and government ownership structures. Comparing BOI against a private sector bank such as HDFC Bank or ICICI Bank would be analytically misleading - private banks

face different cost structures, funding models, and social mandates, making ratio-level comparison unreliable.

On scale proximity, Indian Bank is a genuine near-peer - its FY2026 Total Business of ₹14,94,839 crore is approximately 88 percent of BOI's ₹16,98,662 crore, placing it well within a comparable size band. Bank of Baroda, with a Total Business of ₹30,78,366 crore in FY2026, is approximately 1.81 times the size of BOI and is therefore not a size-matched peer in the strict sense. However, it is retained as the leading benchmark on the grounds that it represents the operational and digital efficiency standard that BOI can aspire to within the PSU segment - it is treated as an aspirational benchmark rather than a size-equivalent comparator, and this distinction is maintained throughout the analysis.

On directional spread, Indian Bank trailing BOI and Bank of Baroda leading it creates a performance corridor within which BOI's position on each metric can be assessed - showing simultaneously where BOI has already differentiated itself from the trailing peer and where it still has ground to close against the leader.

The analysis covers three financial years - FY2023-24, FY2024-25, and FY2025-26 - sourced from the published Annual Reports and Investor Presentations of all three banks.

4.2 Data Sources and Research Methodology

The data used in this chapter has been sourced exclusively from primary financial documents - the published Annual Reports of Bank of India, Indian Bank, and Bank of Baroda for FY2023-24, FY2024-25, and FY2025-26, cross-verified against the Quarterly Investor Presentations of each bank for the corresponding periods. Where figures from both sources were available, the Annual Report figure was treated as the primary value and the Investor Presentation figure was used for cross-validation. All discrepancies identified during cross-verification have been documented.

The analysis covers 31 core metrics across five themes - profitability, operational efficiency, asset quality, business scale and growth, and digital adoption. To ensure cross-bank comparability across institutions of different sizes, the analysis relies on ratios and per-unit productivity metrics rather than absolute figures wherever possible. For example, Return on Assets is used in preference to absolute Net Profit, and Business per Employee is used alongside Total Business.

Where a bank has not disclosed a metric in its source documents, it is recorded as NR (Not Reported) and treated as a disclosure gap rather than a zero value. This is particularly relevant in the digital adoption theme, where reporting practices vary significantly across the three banks. All NR instances are flagged explicitly in the analysis.

The three-year window - FY2024 to FY2026 - was chosen to capture a period of active recovery and transformation in PSU banking following the NPA resolution cycle, making trend analysis more meaningful than a single-year snapshot would allow.

4.3 Profitability Benchmarking

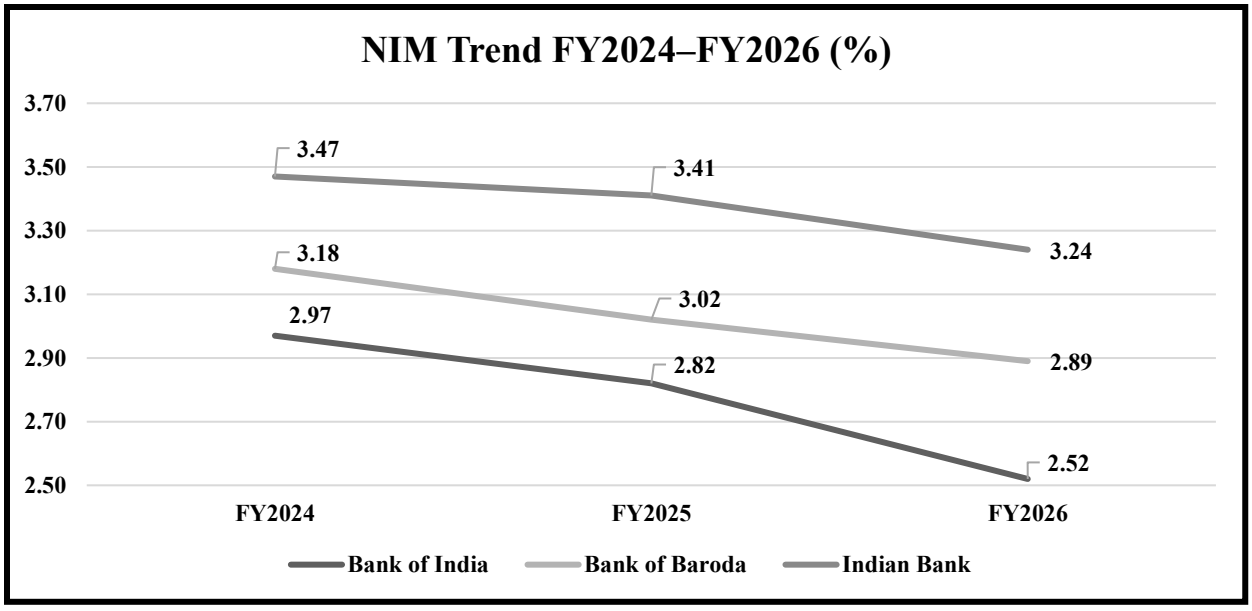
When analyzing a bank's ultimate health, looking at multiple profitability indicators together provides a complete picture of its earning power. Net Interest Margin (NIM) measures the core spread of lending activities, Return on Assets (ROA) tests how efficiently a bank uses its total asset base to create net profit, and Return on Equity (ROE) shows the absolute return generated for shareholders.

Evaluating these metrics across a three-year horizon (FY2024 to FY2026) highlights a widening competitive gap between Bank of India (BOI) and its immediate public sector peers.

4.3.1 Bank of India's Profitability Performance: Reasons Behind the Numbers

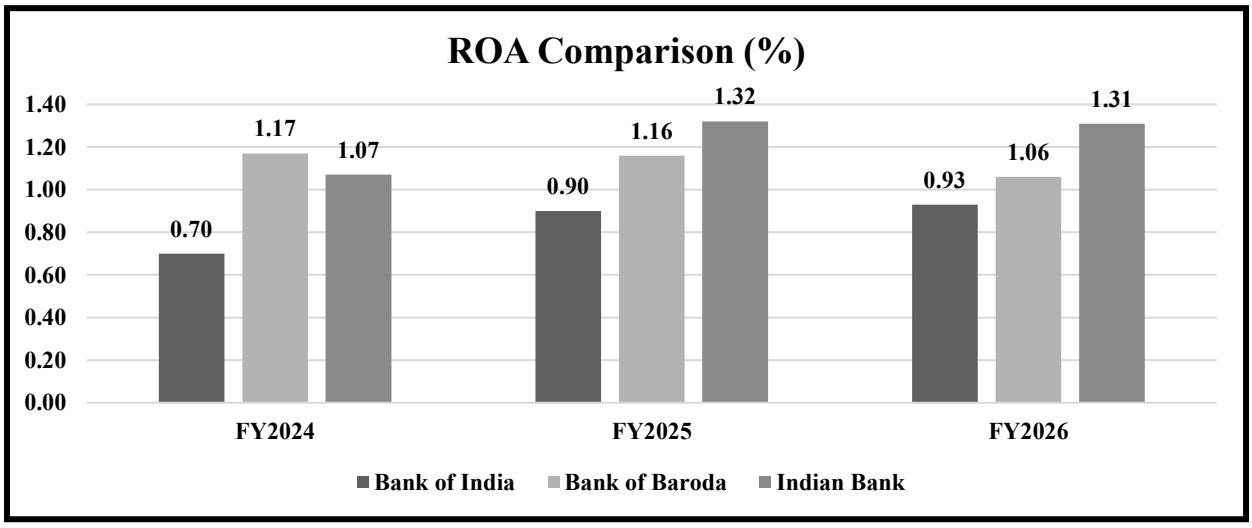
The data reveals that Bank of India is facing structural profitability challenges, generating the lowest core returns within its peer cohort. However, examining the changes in its statistics tells a story of internal adjustments and shifting balance sheet dynamics.

- **The Net Interest Margin (NIM) Squeeze:** BOI's global NIM steadily declined from 2.97% in FY2024, to 2.82% in FY2025, and reached a peer-group low of 2.52% in FY2026.
    - *Reasoning & Evidence:* Management explicitly highlighted this margin compression trend in their investor communications. The primary reason for this squeeze is the rising cost of acquiring funds. According to the bank's Directors' Reports, BOI's domestic CASA (Current Account Savings Account) ratio-which represents cheap deposits-fell from 40.28% in FY2025 to 37.64% in FY2026. To

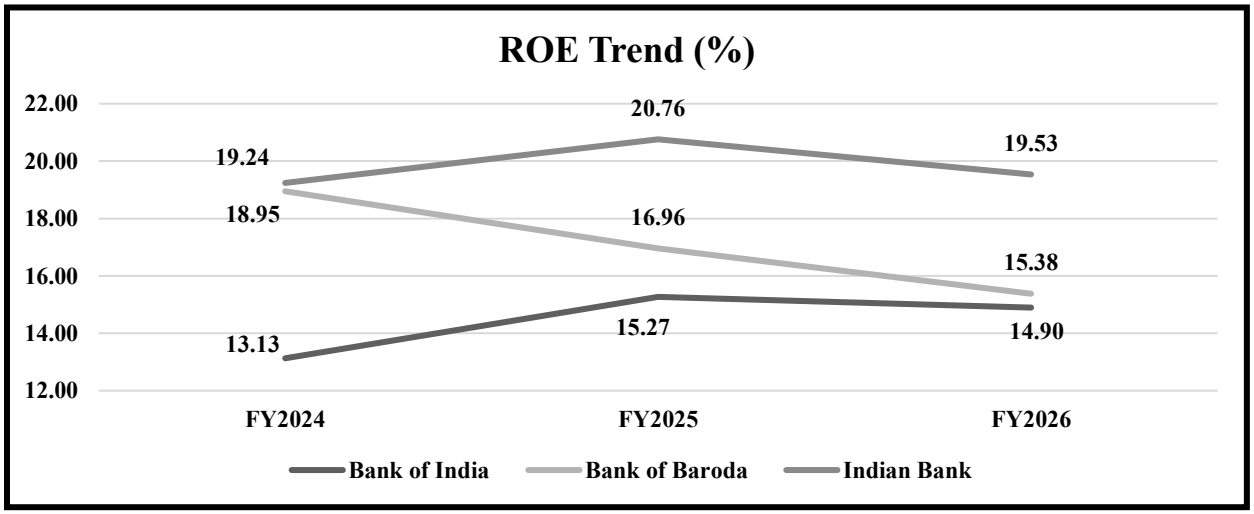


continue growing its overall business, the bank had to rely on expensive term deposits, which heavily reduced its core lending profit margin.

- **Asset Efficiency (ROA) Improvements:** Despite the drop in NIM, BOI successfully improved its ROA over the three-year block. It climbed from 0.70% in FY2024 to 0.90% in FY2025, settling at 0.93% in FY2026.
    - *Reasoning & Evidence:* Financial overviews and performance summaries indicate that this upward momentum stems heavily from non-interest income lines (such as treasury gains) and lower provisions due to aggressive bad-loan recoveries, rather than organic lending margins. While asset quality cleanup helped push the ROA to 0.93%, it still remains below the 1.0% threshold benchmarked by higher-performing banks.



- **Shareholder Returns (ROE) Stagnation:** BOI's return on equity experienced an initial jump from 13.13% in FY2024 to 15.27% in FY2025, but softened to 14.90% by the end of FY2026.



  - *Reasoning & Evidence:* This fluctuation shows that while one-off recoveries and lower contingency provisions boosted FY2025 earnings, the capital base is not being optimized to its maximum capacity over the long term because core underlying interest income remains fundamentally weak.

4.3.2 What Peers Are Doing Better (And Where BOI Lacks)

An assessment of Indian Bank and Bank of Baroda outlines distinct operational strategies that BOI has struggled to replicate.

Indian Bank: High-Yield Pricing and Premium Returns

Indian Bank represents the premium standard for capital returns and core profitability within this public banking group.

- **The Competitive Edge:** Indian Bank maintained the strongest global NIM across all three fiscal years, recording 3.47% in FY2024, 3.41% in FY2025, and a resilient 3.24% in FY2026. Consequently, its ROA remained elite at 1.31%, helping it post a massive ROE of 19.53% in FY2026.
- **Why It Works Better Than BOI:** Indian Bank protects its profitability by locking in a domestic CASA ratio of 39.67%. This gives them a large, stable pool of cheap retail money. They couple this with aggressive lending to higher-margin retail and smaller enterprise portfolios, allowing them to collect premium interest yields while keeping funding expenses lower than BOI's blended deposit rates.

Bank of Baroda (BOB): Scale-Driven Balance Sheet Optimization

Bank of Baroda leverages its immense scale to ensure stable profit delivery despite industry-wide cost pressures.

- **Competitive Edge:** BOB maintained a healthy, industry-beating NIM of 2.89% in FY2026. While its ROA dropped slightly to 1.06%, its superior operating leverage helped it deliver a strong ROE of 15.38%.
- **Why It Works Better Than BOI:** Bank of Baroda manages a massive total business volume, reaching ₹30,78,366 crore by FY2026. This sheer scale generates immense structural advantages. BOB maintains a highly optimized credit-to-deposit ratio of 86.74%, meaning it immediately deploys incoming customer funds out into interest-generating loans. BOI lacks this level of active capital utilization, causing a larger portion of its balance sheet to sit in lower-yield liquid investments.

4.3.3 Operational Recommendations for Bank of India

To reverse its margin compression and match its peers' strong return profiles, Bank of India must adopt two proven strategies from its competitors:

- **Implement the Indian Bank Liability Model:** BOI must actively fix its declining domestic CASA mix, which dropped to 37.64% in FY2026. Bank leadership has acknowledged this weakness and must actively target a higher NIM by reining in expensive wholesale bulk deposits. To execute this, the bank must aggressively build out its retail-focused deposit strategies to draw in low-cost checking and savings accounts.
- **Implement the Bank of Baroda Deploy-and-Earn Model:** BOI needs to improve its overall capital allocation by aggressively steering its credit engine away from low-yielding, large corporate loans toward high-yield retail advances. By actively improving asset allocation and boosting branch productivity, BOI can lift its ROA from 0.93% toward the 1.10%+ tier seen at its major competitors.

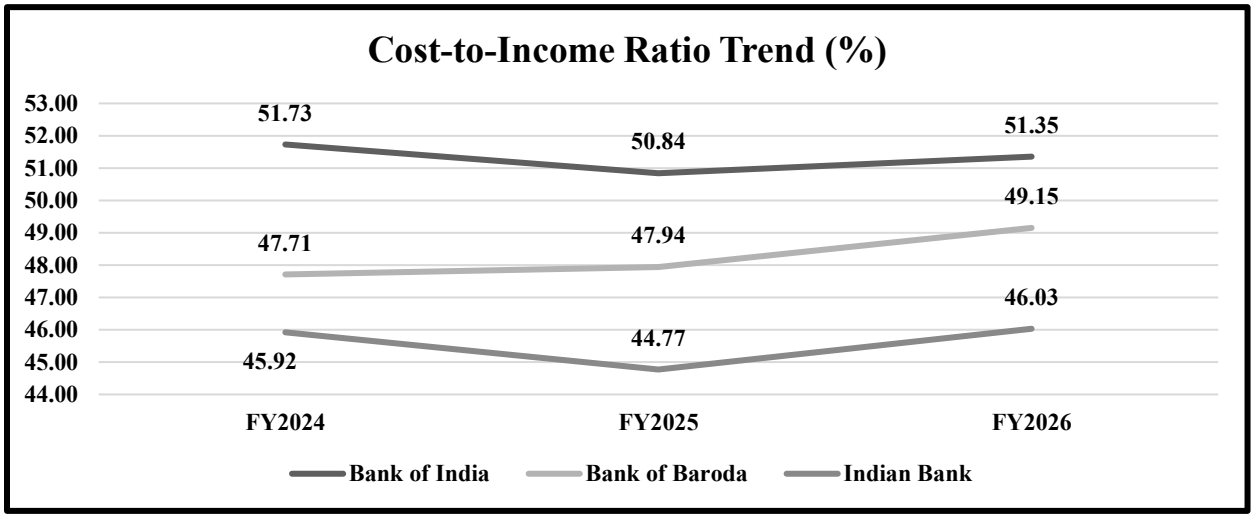
4.4 Comprehensive Efficiency Analysis: Benchmarking Operational Output

When evaluating a bank's long-term sustainability, profitability must be weighed against operational efficiency. Efficiency metrics like the Cost-to-Income Ratio, Business per Employee, and Business per Branch reveal how well a bank is managing its expenses and maximizing the output of its physical and human infrastructure.

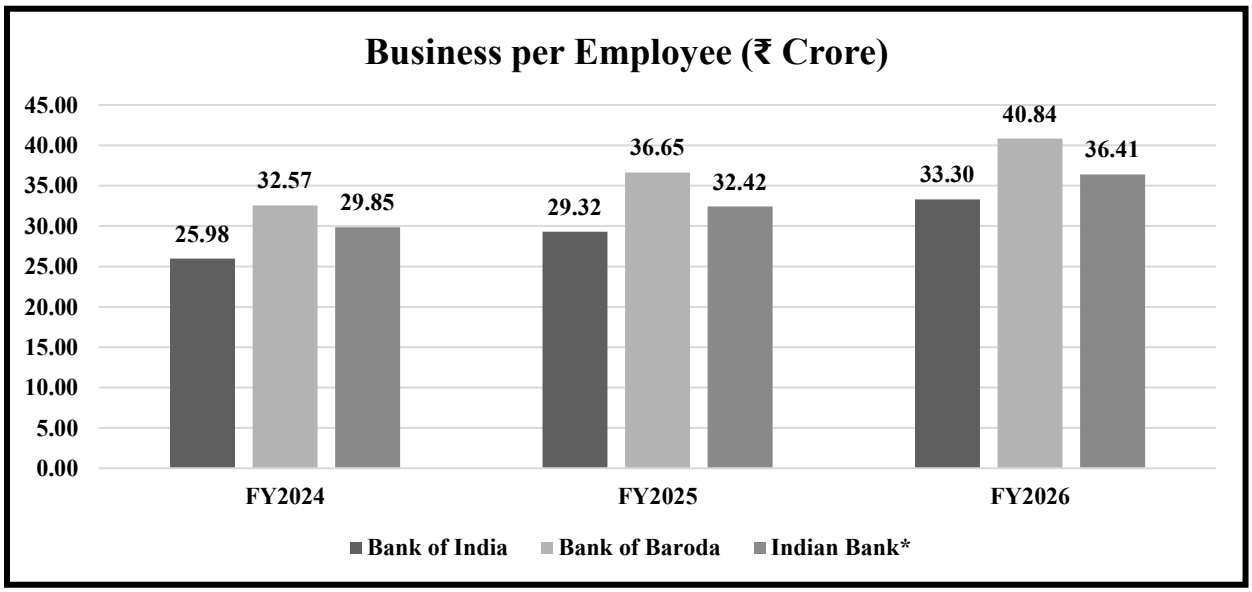
Analyzing these parameters over the three-year block from FY2024 to FY2026 demonstrates that Bank of India (BOI) is operating with a structurally heavier cost burden compared to its faster-moving peers, Bank of Baroda and Indian Bank.

4.4.1 Bank of India's Efficiency Performance: High Costs, Lower Output

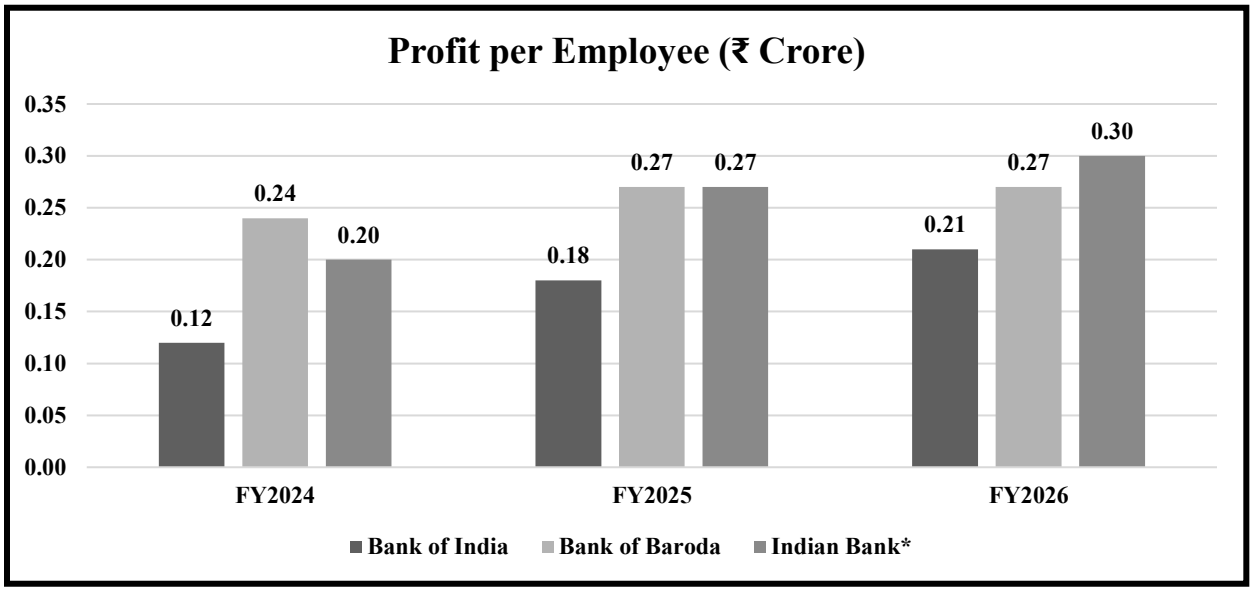
The data indicates that Bank of India (BOI) is lagging in operational leanness, struggling to translate its massive branch network into proportionate business output.



- **Elevated Cost-to-Income Ratio:** The Cost-to-Income ratio measures how much a bank spends (on salaries, rent, technology) to generate every single rupee of income. BOI consistently reports the highest ratio in this peer group, ending FY2026 at a heavy 51.35%, up from 50.84% in FY2025. This means that over half of its operating income is immediately consumed by running costs, severely limiting its final net profit.

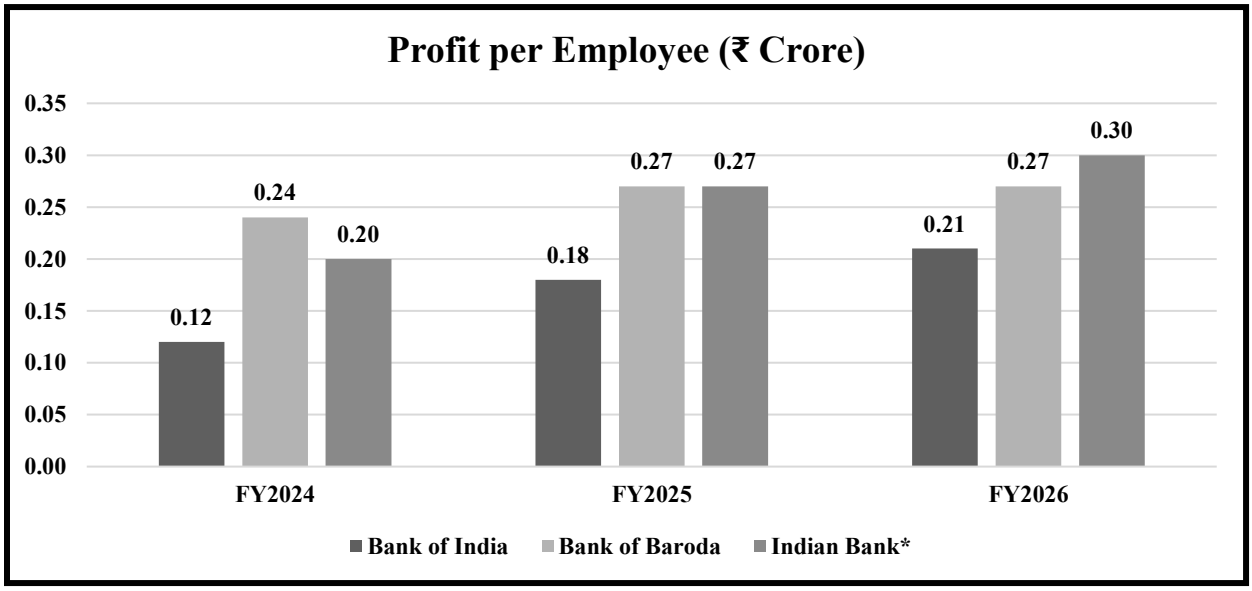


- **Suboptimal Employee Productivity:** While BOI's Business per Employee has improved over three years (from ₹25.98 Crore to ₹33.30 Crore), it remains the lowest in the group. More concerningly, its Profit per Employee stands at just ₹0.21 Crore in FY2026. This suggests that while employees are processing loan and deposit volumes, those volumes are not highly profitable, reflecting the margin squeeze discussed in earlier sections.



Note on AI Potential: Because improving employee output is central to this project's core focus-*"Assessing Efficiency, Competitiveness, and AI Potential in Public Sector Banking"*-the specific strategic levers, use cases, and deployment models detailing how Artificial Intelligence can solve these workforce constraints will be dealt with comprehensively later in the dedicated AI potential section of this report.

- **Branch-Level Underutilization:** BOI generates ₹307.01 Crore in business per branch as of FY2026. While this is a steady improvement from FY2024, it indicates that the bank's physical footprint is not being optimized to the same degree as its larger peers.



4.4.2 What Peers Are Doing Better (And Where BOI Lacks)

Bank of Baroda and Indian Bank have adopted distinctly different, yet highly successful, strategies to control their costs and maximize employee output.

Indian Bank: The Lean Operations Model

Indian Bank is the most operationally efficient institution within this cohort, proving that you do not need the largest network to generate the best relative returns.

- **The Competitive Edge:** Indian Bank operates with a remarkably lean Cost-to-Income ratio, settling at an industry-leading 46.03% in FY2026. Because it controls its overhead expenses so tightly, it boasts the highest Profit per Employee in the group at ₹0.30 Crore.
- **Why It Works Better Than BOI:** Indian Bank achieves this by combining strict cost discipline with high-yield asset generation (like retail and MSME loans). By keeping administrative costs low while generating premium interest income, a much larger share of their revenue drops directly to the bottom line as pure profit. BOI lacks this synchronized cost-and-yield discipline.

Bank of Baroda (BOB): The Scale and Volume Advantage

Bank of Baroda uses its massive size to dilute its operating costs, achieving high efficiency through sheer business volume.

- **The Competitive Edge:** Bank of Baroda absolutely dominates in sheer output, recording a massive Business per Employee of ₹40.84 Crore and Business per Branch of ₹355.96 Crore in FY2026.
- **Why It Works Better Than BOI:** BOB has successfully leveraged technology and aggressive market expansion to drive massive volumes through its existing infrastructure. Even though BOB's Cost-to-Income ratio slightly increased to 49.15% in FY2026 due to aggressive investments in IT and business growth, this expense is easily absorbed by its massive revenue base. BOI's infrastructure is currently not processing enough volume to offset its fixed operational costs in the same way.

4.4.3 Operational Recommendations for Bank of India

To fix its structural inefficiencies and bridge the gap with its peers, Bank of India must take aggressive steps to optimize its human and physical capital:

- **Digitization to Drive Down the Cost-to-Income Ratio:** BOI must aggressively migrate routine transactional banking (like cash deposits and passbook printing) away from physical branches and onto mobile and digital platforms. Reducing the manual workload on branch staff will directly lower operating expenses and push the Cost-to-Income ratio back below the critical 50% threshold.
- **Upskilling for High-Yield Cross-Selling:** To improve the Profit per Employee (currently stuck at ₹0.21 Crore), branch staff must be reallocated from low-value administrative tasks to high-value sales roles. Employees must be trained to aggressively cross-sell high-margin products like retail loans, mutual funds, and insurance to existing depositors.
- **Rationalizing the Branch Network:** BOI should audit its branch-level performance. Branches that consistently fail to meet the ₹300 Crore business benchmark should be consolidated or converted into smaller, digitally led "smart branches" to reduce rental and staffing overheads.

4.5 Comprehensive Asset Quality Analysis

When lending money, a bank's biggest risk is that borrowers will not pay it back. "Asset Quality" measures how healthy a bank's loan book is. A "Non-Performing Asset" (NPA) is simply a bad loan.

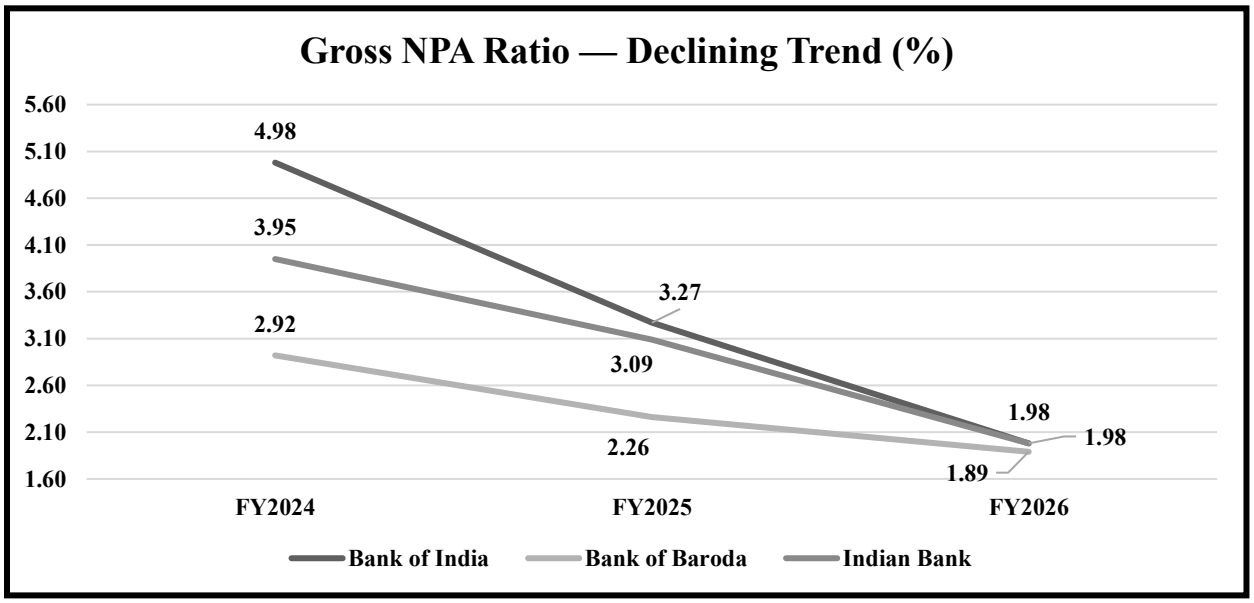
- **Gross NPA Ratio** shows the total percentage of bad loans currently on the books.
- **Net NPA Ratio** shows the actual financial risk left *after* the bank has set aside emergency money (provisions) to cover those bad loans.
- **Provision Coverage Ratio (PCR)** measures how much reserve money the bank has safely locked away to absorb these borrower defaults.

- **Slippage Ratio** measures how many *new* bad loans were created during the given financial year.

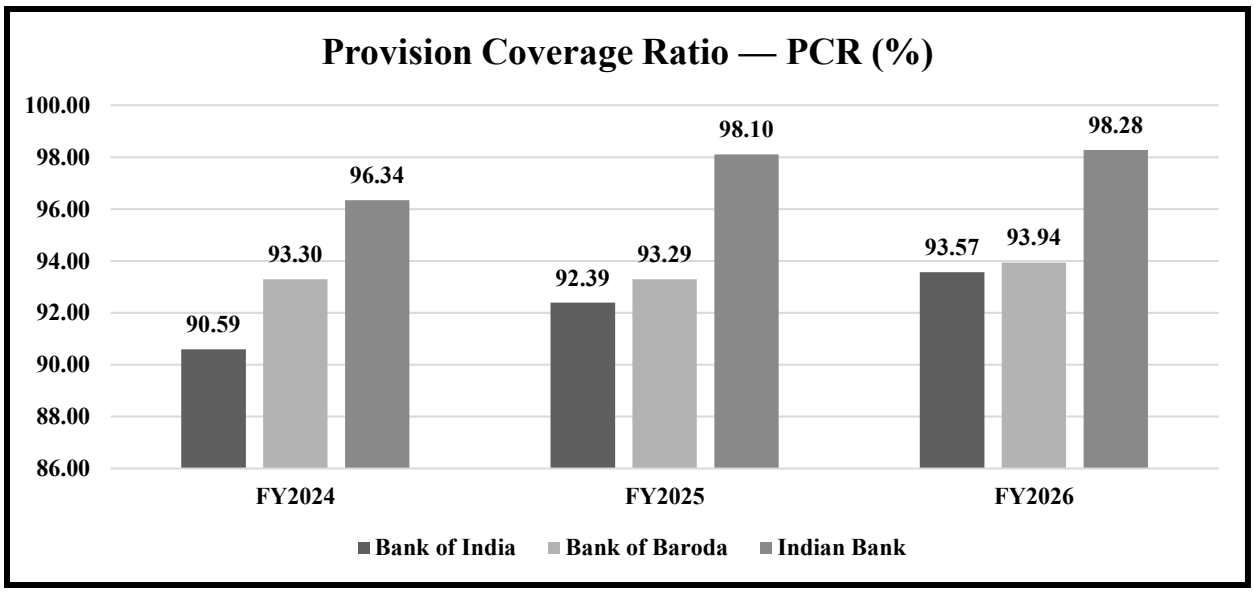
Evaluating these metrics from FY2024 to FY2026 shows that all three banks have successfully cleaned up their historical bad loans, but Indian Bank and Bank of Baroda maintain tighter, more conservative risk controls than Bank of India (BOI).

4.5.1 Bank of India's Asset Quality: A Strong Turnaround

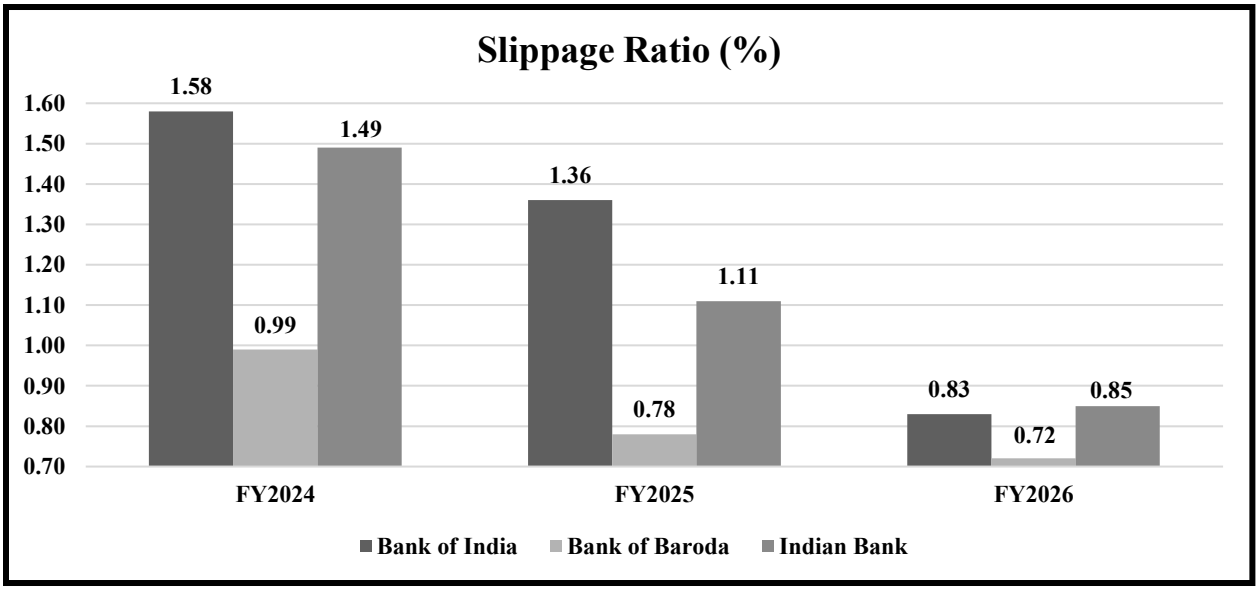
The data highlights that Bank of India has executed an aggressive and highly successful cleanup of its loan book, though clearing its historical baggage took significant time.



- **Massive Reduction in Bad Loans:** BOI's Gross NPA ratio plunged from a concerning 4.98% in FY2024 down to a very healthy 1.98% in FY2026. This means for every ₹100 lent, less than ₹2 is currently defaulting.
- **Securing the Balance Sheet:** As noted in their recent FY26 earnings disclosures, BOI steadily improved its Provision Coverage Ratio (PCR) from 90.59% (FY24) to 93.57% (FY26). Because of this heavier provisioning, their Net NPA-the actual exposed risk-dropped sharply to just 0.56%.



- **Controlling New Defaults:** The Slippage Ratio (fresh bad loans) fell sharply from 1.58% in FY2024 to 0.83% in FY2026. This is a critical improvement, proving that the new loans BOI is issuing today are of much higher quality than the loans it issued in the past.



4.5.2 What Peers Are Doing Better (And Where BOI Lacks)

While BOI's turnaround is impressive, Indian Bank and Bank of Baroda operate with even stricter safety nets, making them less vulnerable to future economic shocks.

Indian Bank: Elite Risk Insulation

Indian Bank represents the absolute gold standard for asset safety within this peer group.

- **The Competitive Edge:** While Indian Bank and BOI both finished FY2026 with a Gross NPA of 1.98%, Indian Bank's Net NPA is a near-zero **0.15%**.
- **Why It Works Better Than BOI:** Indian Bank achieves this by maintaining an elite Provision Coverage Ratio of **98.28%**. They set aside significantly more reserve cash for every bad loan compared to BOI's 93.57%. Furthermore, during their FY2026 investor presentations, management highlighted their aggressive cash recoveries from older, written-off accounts (recovering over ₹6,600 crore). This ultra-conservative cash buffer means bad loans have virtually zero impact on Indian Bank's final net profits.

Bank of Baroda (BOB): Superior Underwriting

Bank of Baroda excels at stopping bad loans before they are even issued.

- **The Competitive Edge:** BOB maintains the lowest Gross NPA in the group at **1.89%** and the lowest Slippage Ratio at a highly controlled **0.72%** for FY2026.
- **Why It Works Better Than BOI:** Bank of Baroda's consistently low slippage (moving from 0.99% down to 0.72%) means its initial credit checks and borrower approvals are stricter and more accurate than BOI's. Because fewer loans go bad in the first place, BOB does not have to spend as much time, manpower, or legal fees chasing recoveries.

4.5.3 Risk Recommendations for Bank of India

To close the final risk gap with its competitors, Bank of India must transition its strategy from "cleaning up past mistakes" to actively "preventing future defaults."

- **Match Indian Bank's Provisioning:** BOI should actively increase its PCR from 93.57% closer to the 98% mark seen at Indian Bank. While this requires sacrificing some short-term profit to build the reserve, it guarantees total balance sheet insulation against future credit shocks.
- **Improve Early Warning Systems (The AI Connection):** To match Bank of Baroda's low 0.72% slippage ratio, BOI must fundamentally improve how it monitors borrower financial health *after* a loan is disbursed.

Note on AI Potential: Upgrading the bank's predictive risk models is a central theme of this research project. As established in the report title-*"Assessing Efficiency, Competitiveness, and AI Potential in Public Sector Banking"*-the specific ways Artificial Intelligence and Machine Learning can be used to build "Early Warning Systems" (EWS) to detect defaulting borrowers before they miss a payment will be thoroughly detailed in the final AI chapters of this report.

- **Quality Over Quantity in RAM Growth:** As BOI shifts its focus to Retail, Agriculture, and MSME (RAM) loans to boost profit margins, management must ensure this does not result in relaxed credit checks. The bank must prioritize prime credit scores to keep fresh slippage strictly below 1%.

4.6 Comprehensive Scale & Growth Analysis

When evaluating a bank's market position, "Scale and Growth" tell us how fast the bank is expanding its footprint and whether that size translates into actual bottom-line profits.

- **Total Business** is the sum of all deposits collected and all loans given out. It indicates the bank's true market share and operational size.
- **Total Assets** show the total financial strength and size of the balance sheet.
- **Net Profit** represents the final take-home earnings after all expenses, taxes, and bad-loan provisions are paid.

Analyzing these metrics from FY2024 to FY2026 shows that while Bank of India (BOI) is growing its business at a very healthy rate and drastically improving its profits, it still lags behind its peers in absolute scale (Bank of Baroda) and profit generation relative to its physical size (Indian Bank).

4.6.1 Bank of India's Growth Performance: Rapid Profit Acceleration

The data reveals that Bank of India is in a strong expansion phase, successfully converting its past balance sheet cleanup into bottom-line earnings.

- **Steady Business Expansion:** BOI's Total Business grew from ₹1,323,515 Crore in FY2024 to ₹1,482,588 Crore in FY2025 and reached ₹1,698,662 Crore in FY2026. Total Assets mirrored this trajectory, climbing from ₹912,598 Crore in FY2024 to cross the ₹11.6 lakh crore mark by FY2026 (₹1,163,433 Crore).
- **Massive Profit Surge:** The most impressive metric for BOI is its Net Profit, which jumped from ₹6,318 Crore in FY2024 to ₹9,219 Crore in FY2025, reaching ₹10,527 Crore in FY2026. This dramatic leap is largely tied to the bank's successful reduction in bad loans and aggressive cash recoveries (as noted in the Asset Quality section), meaning less money was locked away in emergency reserves and more was declared as pure profit.

4.6.2 What Peers Are Doing Better (And Where BOI Lacks)

While BOI is growing steadily, comparing it to Bank of Baroda and Indian Bank reveals key structural differences in how scale is utilized.

Bank of Baroda (BOB): The Undisputed Giant of Scale

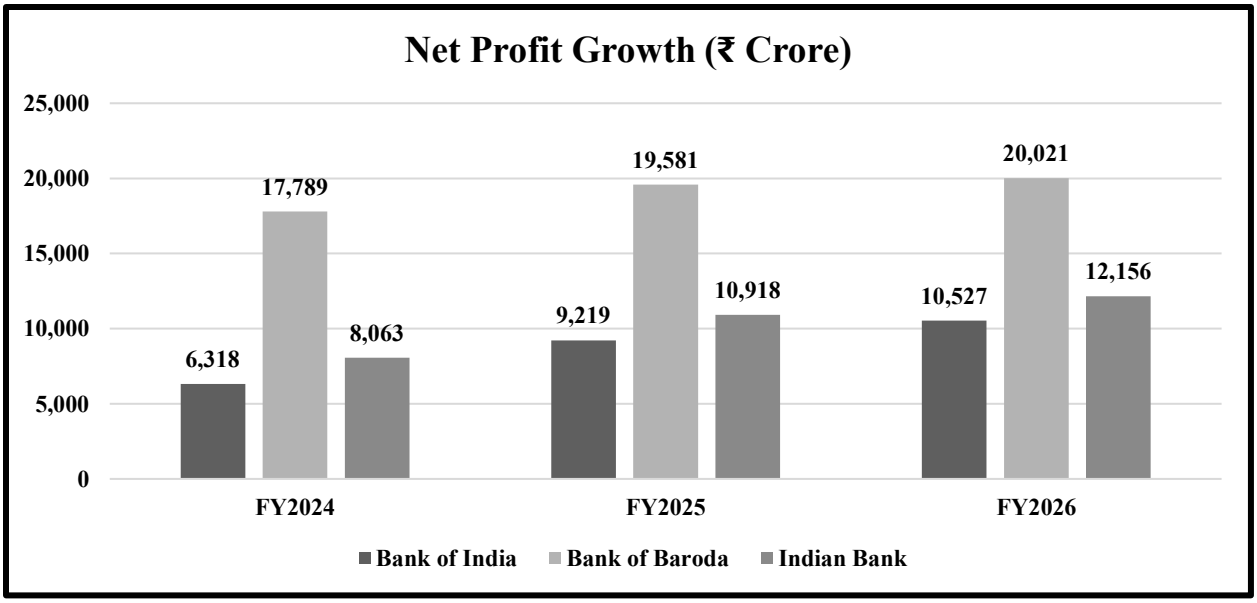
Bank of Baroda operates in an entirely different weight class, using its massive size to dominate the market.

- **The Competitive Edge:** By FY2026, BOB's Total Business crossed an incredible ₹3,078,366 Crore, with Total Assets exceeding ₹20 lakh crore (₹2,009,164 Crore). To put this in perspective, BOB is almost double the size of BOI in terms of total market footprint.
- **Why It Works Better Than BOI:** BOB's Net Profit is massive in absolute terms, recording ₹17,789 Crore in FY2024 and steadily growing to ₹20,021 Crore in FY2026. Because of its colossal size, BOB can absorb economic shocks, invest heavily in cutting-edge digital infrastructure, and offer highly competitive loan rates without severely denting its overall earnings. BOI simply does not have this sheer volume advantage yet.

Indian Bank: Smaller Scale, Superior Profitability

Indian Bank proves that a bank does not need to be the biggest to be the most profitable.

- **The Competitive Edge:** In FY2026, Indian Bank's Total Business stood at ₹1,494,839 Crore, making it physically smaller than Bank of India's ₹1,698,662 Crore. Its Total Assets of ₹987,953 Crore are also noticeably smaller than BOI's.
- **Why It Works Better Than BOI:** Despite having a smaller Total Business and a smaller balance sheet, Indian Bank generated a significantly higher Net Profit of ₹12,156 Crore in FY2026 compared to BOI's ₹10,527 Crore. This highlights Indian Bank's superior margin



management and operational efficiency. They are extracting much more profit from every single rupee they manage.

4.6.3 Growth Recommendations for Bank of India

To bridge the gap between BOB's massive scale and Indian Bank's supreme profitability, Bank of India must adopt a smarter growth strategy:

- **Focus on High-Margin Growth over Pure Volume:** Since BOI cannot immediately match Bank of Baroda's size, it must mimic Indian Bank's strategy. BOI should prioritize growing its high-yield loan portfolios rather than chasing large, low-yield corporate loans just to inflate its Total Business numbers.
- **Leverage AI to Scale Efficiently:** To grow its Total Business towards the ₹20 lakh crore milestone without aggressively ballooning its operating costs, BOI must automate its growth engines.

Note on AI Potential: Scaling up efficiently is a critical pillar of this research project. As noted in the core project title-*"Assessing Efficiency, Competitiveness, and AI Potential in Public Sector Banking"*-the upcoming sections will detail how Artificial Intelligence can be used to automatically process loan originations, handle customer service at scale, and drive exponential business growth without requiring a proportional increase in expensive human manpower.

4.7 Consolidated Benchmarking Findings

The following table consolidates the key findings from the four benchmarking dimensions - Profitability, Operational Efficiency, Asset Quality, and Scale & Growth - covered in sections 4.3 through 4.6. All figures are as of FY2026 unless stated otherwise. BOI's relative standing on each metric is indicated using a simple traffic light system: Leader , Middle , or Trailer. This consolidated view allows a holistic assessment of BOI's competitive position and directly informs the strategic recommendations that follow.

Metric	Bank of India (FY2026)	Bank of Baroda (FY2026)	Indian Bank (FY2026)	BOI Standing
PROFITABILITY				
Net Interest Margin (NIM)	**2.52%**	2.89%	3.24%	Trailer
Return on Assets (ROA)	**0.93%**	1.06%	1.31%	Trailer
Return on Equity (ROE)	**14.90%**	15.38%	19.53%	Trailer
OPERATIONAL EFFICIENCY				
Cost-to-Income Ratio	**51.35%**	49.15%	46.03%	Trailer (lower is better)

Business per Employee	**₹33.30 Cr**	₹40.84 Cr	₹36.41 Cr	Trailer
Profit per Employee	**₹0.21 Cr**	₹0.27 Cr	₹0.30 Cr	Trailer
Business per Branch	**₹307.01 Cr**	₹355.96 Cr	₹248.93 Cr	Leader
ASSET QUALITY				
Gross NPA Ratio	**1.98%**	1.89%	1.98%	Middle (lower is better)
Net NPA Ratio	**0.56%**	0.45%	0.15%	Trailer (lower is better)
Provision Coverage Ratio	**93.57%**	93.94%	98.28%	Trailer (higher is better)
Slippage Ratio	**0.83%**	0.72%	0.85%	Leader (lower is better)
SCALE & GROWTH				
Total Business (FY2026)	**₹16,98,662 Cr**	₹30,78,366 Cr	₹14,94,839 Cr	Middle
Total Assets (FY2026)	**₹11,63,433 Cr**	₹20,09,164 Cr	₹9,87,953 Cr	Middle
Net Profit (FY2026)	**₹10,527 Cr**	₹20,021 Cr	₹12,156 Cr	Trailer
Net Profit Growth (FY24→FY26)	**+66.6%**	+12.5%	+50.7%	Leader

Key Takeaways: Bank of India leads the peer group on only two metrics - Business per Branch and Net Profit Growth Rate - while trailing on seven of the fifteen metrics assessed. The most structurally concerning gaps are in profitability (NIM, ROA, ROE all below both peers), operational efficiency (highest Cost-to-Income, lowest output per employee), and risk provisioning (Net NPA and PCR both lag Indian Bank significantly). The one area of genuine strength is the pace of earnings recovery - BOI's 66.6% net profit growth over two years is the highest in the group, indicating that the turnaround is real and accelerating. Closing the remaining gaps, particularly in margin management and employee productivity, is the central challenge addressed in the following chapters.

AI-Driven Operational Transformation at Bank of India

5.1 Introduction

The competitive benchmarking in Chapter 4 established that Bank of India's most significant performance gaps - an elevated Cost-to-Income Ratio of 51.35%, the lowest Business per Employee in the peer group at ₹33.30 crore, and a Net NPA ratio that lags Indian Bank's by 41 basis points - are not gaps that can be closed through capital alone. They are fundamentally operational gaps, caused by manual, paper-dependent workflows that consume skilled staff time, introduce error, and slow down processes that technology can handle faster and more accurately.

This chapter investigates six such operational bottlenecks, identified through direct primary observation during a 30-day internship at Bank of India's Retail Business Centre (RBC) and SMEUC, Gorakhpur. For each problem, two solutions are proposed: a realistic near-term solution deployable within BOI's existing infrastructure, and an augmented long-term solution predicated on multi-bank collaboration to build shared technology infrastructure at the PSU sector level.

The problems and solutions documented here are not hypothetical. RPA adoption across Indian banking has been shown to reduce operational costs by 30–70%, with an ROI typically achieved within the first year of deployment [1]. The Indian RPA market is projected to grow from ₹627.7 crore in FY2024 to ₹6,235 crore by FY2030, at a CAGR of 48.8% [1]. PSB Manthan 2025, the Finance Ministry's flagship banking reform conference, placed AI-driven operational efficiency at the centre of the PSU banking agenda and called on PSBs to build governance frameworks for AI adoption and modernise legacy infrastructure [2]. The Union Budget 2026 designated financial sector digitalisation as a key government priority.

5.2 Problem 1: Physical Hardcopy Document Workflow

5.2.1 The Observed Problem

At Bank of India's Retail Business Centre and Zonal Office, Gorakhpur, client documents - ITRs, salary slips, bank statements, property valuation reports, KYC documents - are received and processed as physical hardcopies. In many instances these are not even properly printed originals; they are photographs of documents taken on mobile phones and printed on office printers, arriving as collections of low-resolution, partially illegible images stapled into a physical file. Staff have no choice but to manually flip through pages to locate specific values - finding the gross income line in a 30-page ITR, or locating an EMI figure buried in a 12-month bank statement printout. There is no search, no indexing, and no navigation. OCR (Optical Character Recognition) technology, which converts scanned images into searchable text, has been commercially mature for over a decade. Its absence from this workflow is a direct operational cost borne daily by every officer who handles a physical loan file.

5.2.2 Realistic Solution: Document Management System with Mandatory OCR Processing

The near-term solution is a Document Management System (DMS) deployed within BOI's existing IT infrastructure, with a mandatory digital submission portal for all client documents. Branches scan and upload documents as high-resolution PDFs before dispatching any loan file to the RBC. An OCR engine processes each uploaded PDF and converts it into fully searchable text. Every document becomes instantly searchable - an officer looking for "gross total income" in an ITR reaches the figure in under two seconds, compared to the current practice of manually scanning multiple pages. Beyond searchability, the DMS provides centralised, tamper-evident document storage with access controls, version history, and retrieval logs, significantly strengthening compliance and audit readiness. Leading NBFCs have implemented OCR-based document

processing and reported a 70% reduction in document verification time, with turnaround times falling from four days to six hours [3].

5.2.3 Augmented Solution: PSB-Sector Document Intelligence Platform

The long-term vision extends this logic across all 12 Public Sector Banks. Since every PSB operates under identical RBI-mandated document formats - the same ITR schedules, the same KYC norms, the same property valuation formats - a shared document intelligence LLM trained on anonymised document data from across the PSU sector would be vastly more capable than any single bank could build independently. Facilitated by IBA (Indian Banks' Association), each PSB contributes anonymised document sets as training data. The resulting model reads, classifies, and extracts structured data from any standard banking document automatically. The model is hosted centrally, accessed by all 12 PSBs via API, and continuously improves as more data flows through it. The development cost is shared; the benefit is system-wide.

5.3 Problem 2: Manual Data Entry into Loan Memoranda

5.3.1 The Observed Problem

Loan memoranda drafted at the RBC contain a mix of data-driven tables and qualitative narrative. The data-driven sections - the Net Take Home Pay (NTHP) calculation table, the due diligence summary, the borrower's income and liability details - require the Probationary Officer to manually locate specific figures in the physical file and re-type them into the appropriate cells of the memo template. Observed during the internship, a single officer completes three to four such memos per day, with each memo consuming approximately 45 to 60 minutes - the majority of which is spent on this mechanical data-copying task. The Probationary Officer's genuine value-add - the credit assessment, the risk observation, the recommendation - takes a fraction of this time. The current workflow inverts the ratio of value-added to mechanical work.

5.3.2 Realistic Solution: RPA and OCR-Based Memo Auto-Population

Once documents are digitised under the DMS described in Problem 1, a Robotic Process Automation (RPA) tool integrated with BOI's Finacle Core Banking System automatically extracts structured data fields from uploaded digital documents and populates the corresponding sections of the memo template - the NTHP table, due diligence section, and borrower details. The Probationary Officer opens a draft memo with the correct numbers already in every table, and their role shifts entirely to reviewing those numbers and writing the qualitative sections: the credit assessment, the risk commentary, and the recommendation. Sector data shows RPA implementations in banking generate 3–10x ROI within the first year and can cut operational costs in the automated workflow by 30–70% [1]. A comparable Mumbai-based bank reported saving ₹3.5 crore annually from a single RPA implementation [1].

5.3.3 Augmented Solution: PSB-Sector Shared LLM for Loan Documentation

Since all 12 PSBs follow RBI-standardised loan memo formats, a shared PSB LLM trained on millions of anonymised loan files from across the sector can generate highly accurate pre-filled memo drafts far beyond what RPA alone achieves. Where RPA fills structured fields, the shared LLM also drafts narrative sections - initial credit summaries, standard due diligence observations - based on the borrower's financial profile, which the officer then refines. Hosted by IBA or SIDBI as a shared service, this eliminates redundant development expenditure across 12 banks and delivers a continuously improving model at a marginal cost per institution that no individual private bank could match.

5.4 Problem 3: Incomplete Document Submission from Branches to RBC

5.4.1 The Observed Problem

A persistent operational friction observed at the RBC is the receipt of loan files from branches that are missing one or more required documents. The deficiency is discovered only when an RBC officer opens the file and begins the appraisal process. At that point the officer must contact the branch, the branch contacts the customer, the missing documents are collected, and the process restarts - sometimes across multiple rounds. Each cycle adds days to the loan processing timeline, occupies officer time at both ends, and damages the customer experience. The root cause is straightforward: there is no systematic verification of document completeness at the branch level before a file is dispatched.

5.4.2 Realistic Solution: Pre-Submission Document Completeness Validation Portal

A mandatory digital pre-submission portal integrated into BOI's branch operations system requires branch staff to upload all client documents digitally before dispatch. The portal's OCR engine identifies each document type and checks the uploaded set against the mandatory checklist for the specific loan product. If anything is missing, the portal immediately flags it with a specific message - for example: "Home Loan File - Missing: Property Valuation Report, Income Tax Returns FY2024–25." The branch officer cannot submit the file until all items are present and validated. The RBC's intake queue becomes a queue of complete files only, eliminating the discovery-and-recovery cycle entirely.

5.4.3 Augmented Solution: India Stack Integration for Source-Level Document Pull

A shared PSB platform integrates with India Stack infrastructure - DigiLocker for identity and property documents, the CBDT portal for ITRs, the Account Aggregator framework for bank statements, MCA21 for business entity data, and CERSAI for encumbrance certificates. With the customer's one-time digital consent, all required documents are pulled programmatically from their authoritative source - verified, tamper-evident, and machine-readable. No physical document needs to change hands. The RBI's Unified Lending Interface (ULI) has already demonstrated this

model for agricultural credit; extending it to all retail and MSME products sector-wide through an IBA-coordinated initiative is the logical next step.

5.5 Problem 4: Internal IT System Downtime

5.5.1 The Observed Problem

Multiple instances of internal IT system failure were observed across both the SMEUC and RBC departments during the internship period. When BOI's internal portals become unavailable - whether due to server failures, network disruptions, or software issues - departments have no mechanism to receive advance warning, no automated IT escalation pathway, and no pre-defined protocol for redirecting work. The result in each instance was a complete operational halt: officers unable to access loan files, unable to update records, and with no productive alternative. Work accumulated, processing timelines extended, and the disruption persisted well after the system was restored.

5.5.2 Realistic Solution: AI-Powered Predictive System Health Monitoring

An internal monitoring tool continuously tracks real-time health indicators of BOI's own systems - server load, memory utilisation, API response latency, and error rate thresholds - across all critical internal portals. Using anomaly detection algorithms, the system identifies degrading performance before failure and sends automated alerts to department heads and IT teams, giving officers a window of typically 15 to 30 minutes to complete time-sensitive tasks. When failure does occur, an automated incident protocol triggers: a prioritised IT ticket is auto-created with full diagnostic context, escalation notifications go up the IT chain, and a pre-defined offline task list activates for each department specifying which workflow steps can continue and which must be deferred. Downtime becomes a managed partial slowdown rather than a full halt.

5.5.3 Augmented Solution: Shared PSB Cloud Infrastructure with Automatic Failover

The long-term structural solution is migration of critical PSB banking systems to a jointly owned, geographically redundant cloud infrastructure platform hosted under NPCI or RBI oversight and governed by IBA. When one PSB's instance experiences failure, workloads automatically failover to backup nodes. The shared cost model across 12 government-backed PSBs makes enterprise-grade cloud resilience - which would cost each bank hundreds of crores to build independently - financially viable as a collective investment, aligning directly with the PSB Manthan 2025 directive to move beyond legacy systems toward agile, interoperable platforms with enhanced cyber resilience [2].

5.6 Problem 5: Printer Dependency and Illegible Document Output

5.6.1 The Observed Problem

The RBC and ZO's dependence on physical document workflows creates a direct, measurable secondary problem: printer cartridges are depleted at an unsustainable rate, sometimes within a single working day of heavy file processing. When cartridges run low, documents printed late in the day are partially illegible - faded, streaked, or missing entire sections of text. Officers must either attempt to read them under adverse conditions, request reprints further depleting consumables and adding time, or escalate to senior staff to resolve the ambiguity. This is not a trivial inconvenience. Bank of Baroda - a peer operating under identical regulatory conditions - reported printing and stationery expenses of ₹164 crore for FY2023 and ₹131 crore for just the first nine months of FY2024 [4]. The illegibility problem is a direct downstream symptom of the hardcopy dependency described in Problem 1.

5.6.2 Realistic Solution: Structured Paperless Internal Workflow Initiative

A formal paperless workflow initiative within BOI's RBC and ZO operations eliminates the printer dependency at source. All internal approvals, memo circulation, file tracking, inter-department communication, and sign-offs shift to digital formats - PDF workflows with digital signatures where wet signatures are not legally mandated, and e-approval workflows integrated into the DMS. Physical printing is reserved exclusively for customer-facing documents where RBI or legal mandates require a physical copy. Printer usage drops sharply and the illegibility problem is solved not by better printers but by eliminating the need to print.

5.6.3 Augmented Solution: Fully Paperless PSB Sector via Unified Digital Platform

When the shared document intelligence LLM reads documents pulled directly from India Stack sources, loan memos are auto-populated and digitally approved, and inter-department communication flows through a unified digital platform, no document ever needs to be printed. The recurring ₹150–200 crore annual stationery and printing expenditure currently reported at large PSBs [4] is progressively eliminated. Officers work with digital-native files throughout the entire loan lifecycle, and the physical infrastructure of printers, cartridges, paper stores, and filing cabinets is retired.

5.7 Problem 6: Manual Portal Switching for External Data Retrieval

5.7.1 The Observed Problem

When processing a loan file, officers are required to retrieve data from multiple external portals - CIBIL for the borrower's credit score and history, CERSAI for property encumbrance verification, and MCA21 for business entity details in MSME cases. The current process requires opening each portal separately in a browser, logging in, navigating to the search function, entering borrower details manually, waiting for the result, and then manually noting or screenshotting the figure

before returning to the loan processing system. This cycle repeats for every portal, for every loan file. In a day of processing multiple files, an officer may perform this sequence dozens of times. Beyond time cost, manual navigation introduces transcription risk at precisely the stage of the process where accuracy is most critical to credit risk assessment.

5.7.2 Realistic Solution: Direct API Integration within BOI's Loan Processing System

The TransUnion CIBIL API is already available to member institutions and returns a full credit profile - including score, active loan accounts, payment history, and inquiry data - in approximately 1.2 seconds [5]. A one-time API integration project embeds this retrieval directly into BOI's loan processing interface. When an officer enters the borrower's PAN, the system automatically calls the CIBIL API and displays the credit score and relevant history in a panel within the same screen - no browser switching, no manual search, no transcription. The same integration for CERSAI populates encumbrance status automatically. With CIBIL 2.0 now updating credit scores on a 15-day cycle as mandated by RBI from early 2025 [5], the data quality available through this integration is significantly improved over the manually retrieved equivalent.

5.7.3 Augmented Solution: Joint PSB API Agreements and Competitive Advantage over Private Banks

A consortium of 12 PSBs negotiating through IBA as a single entity has substantially greater commercial leverage with CIBIL, CERSAI, MCA21, and NeSL than any individual bank. A joint API agreement with a shared integration layer built once and accessed by all 12 PSBs eliminates 12 separate integration projects and the associated development, maintenance, and licensing costs. Private sector banks - HDFC Bank, ICICI Bank, and Axis Bank - each build and maintain these integrations individually at full cost. The PSB consortium achieves equivalent capability at a fraction of the per-bank cost. Combined with the other shared investments in this chapter - the document intelligence LLM, the India Stack integration layer, the shared cloud infrastructure - the result is a PSU sector technology stack more capable, more resilient, and more economical than anything any individual private bank can build alone. The conventional narrative that PSBs are perpetually behind private banks in technology is inverted: collective action converts the PSU sector's structural scale from a bureaucratic constraint into a technology moat.

5.8 Employee Feasibility and Change Management

Industry research establishes that 52% of banks have faced active resistance from legacy employees when introducing digital tools and reskilling programmes [6]. In the PSU banking context, this is amplified by the seniority structure - many officers have built their professional identity around manual workflows and have legitimate concerns about whether automation renders their expertise redundant. Addressing this requires a change management strategy that is honest about what is being automated and what is not. In every solution described in this chapter, the automation targets only mechanical, repetitive tasks - data copying, portal switching, document searching. The judgment-intensive work - credit assessment, risk observation, customer

relationship management, exception handling - remains entirely with the officer. The honest framing for staff is that these tools eliminate the least rewarding parts of their work and free them to do more of the parts that require genuine expertise.

- **Phase 1 - Awareness and Orientation (Weeks 1–2):** Before any system is deployed, department heads and senior officers receive structured briefings on what is being implemented, why, and specifically what it does and does not automate. Union representatives are included. The goal is informed consent, not managed compliance.
- **Phase 2 - Hands-On Pilot Training (Weeks 3–6):** A small cohort of officer volunteers receives hands-on training in a sandboxed environment and becomes internal champions who demonstrate the tools to colleagues in the language of daily practice. Micro-learning modules - short, mobile-accessible training videos - are deployed alongside and accessible on demand. Research shows just-in-time microlearning is significantly more effective than classroom training for banking tool adoption [6][10].
- **Phase 3 - Full Rollout with Support Layer (Weeks 7–12):** System-wide deployment with a designated support desk for the first 60 days. Officers who encounter difficulties receive immediate assistance rather than being left to struggle - the most common cause of tool abandonment in early deployment phases. Performance data from the pilot cohort showing time savings and error reduction is shared transparently with all staff.
- **Phase 4 - Reorientation of Freed Capacity (Ongoing):** Freed officer hours are deliberately redirected. Officers previously spending 45–60 minutes per memo on data copying spend that time on lead generation, credit portfolio review, and customer engagement. Without this reorientation, efficiency gains remain theoretical rather than realised in the Cost-to-Income ratio and Business per Employee metrics.

5.9 The Unified Vision: A PSB-Sector LLM Platform

The six augmented solutions described in this chapter are not six separate proposals. They converge on a single architectural vision: a jointly developed, IBA-governed PSB-sector Large Language Model platform integrating India Stack data sources, shared API agreements, and common cloud infrastructure, trained on the collective operational data of all 12 Public Sector Banks and continuously improved through ongoing use. The Government of India holds majority stakes in all 12 PSBs. There is no competitive reason for each PSB to build identical document processing models, identical API integrations, and identical monitoring systems independently. A jointly financed platform delivers enterprise-grade AI capability at a per-institution cost that is a fraction of individual development, and would be uniquely positioned to integrate with RBI regulatory data, CERSAI's national encumbrance registry, and the full India Stack in ways that require government backing no private bank can secure on equivalent terms.

PSB Manthan 2025 called for exactly this direction: modernising legacy infrastructure, building AI governance frameworks, and creating the conditions for at least two Indian PSBs to break into

the world's top 20 banks by assets [2][7]. The Union Budget 2026's designation of financial sector digitalisation as a key priority provides the policy backing. The technology - LLMs, OCR, RPA, cloud infrastructure, API management - is commercially mature. The proposals in this chapter provide a ground-level roadmap of where that institutional coordination should begin: in the loan processing rooms, the document filing cabinets, and the printer queues of RBCs and Zonal Offices across the country.

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Conclusion

6.1 Summary of Findings

This study set out to assess Bank of India's competitive position within the Public Sector Banking landscape and to identify operational inefficiencies that constrain its performance. Using a three-layer benchmarking methodology - Observe, Compare, Infer - applied across FY2024 to FY2026, BOI's performance was evaluated against two PSU peers: Indian Bank as the trailing peer and Bank of Baroda as the leading peer. The analysis spanned four performance dimensions: profitability, operational efficiency, asset quality, and scale and growth.

The benchmarking findings reveal a bank in transition. Bank of India's most encouraging metrics are on the trailing edge of its historical performance curve rather than its current ceiling. Net Profit grew 66.6% year-on-year in FY2026, the strongest growth rate in the peer group. The Slippage Ratio of 0.83% is the lowest among the three banks, indicating that fresh NPA generation has been largely brought under control. Business per Branch of ₹307.01 crore leads the peer group, reflecting the productivity of BOI's branch network when measured at the branch level.

However, two structural gaps demand urgent attention. First, the Cost-to-Income Ratio of 51.35% - the highest in the peer group - signals that operational expenditure is consuming a disproportionate share of income. Second, Business per Employee of ₹33.30 crore - the lowest in the peer group - indicates that individual officer productivity has not kept pace with the growth in the bank's total business. These two metrics are not independent; they are symptoms of the same underlying condition: a workforce that is skilled but whose capacity for high-value work is constrained by manual, paper-dependent operational workflows.

The asset quality picture is mixed. BOI's Gross NPA of 1.98% and Net NPA of 0.56% represent genuine improvements over prior years, but they remain worse than Indian Bank's 0.15% Net NPA, which reflects a structurally different credit book that BOI will take several years to match. The Provision Coverage Ratio of 93.57%, while appearing strong in absolute terms, lags Indian Bank's 98.28% and Bank of Baroda's comparable coverage, leaving a residual gap in downside protection.

6.2 The Operational Root Cause

The competitive benchmarking in Chapter 4 identifies performance gaps; the primary research in Chapter 5 identifies their operational root cause. Six workflows observed firsthand at Bank of India's Retail Business Centre and SMEUC, Gorakhpur, represent recurring friction points that collectively suppress officer productivity, inflate the Cost-to-Income Ratio, and slow loan processing timelines: physical document handling with no OCR or digital indexing; manual data entry into loan memoranda; incomplete document submissions from branches triggering repeated

back-and-forth; internal IT system failures with no predictive monitoring or fallback protocol; excessive printer dependency generating illegible hardcopy output; and manual portal switching to retrieve credit and encumbrance data.

None of these problems require new regulation, new capital, or new credit products to solve. They require targeted technology deployment - RPA, OCR, API integration, document management systems, and predictive monitoring - across workflows that are already standardised and rule-bound. The technology in each case is commercially mature. The cost of implementation is recoverable within the first year for most solutions. The constraint is not capability; it is institutional prioritisation.

6.3 The Case for PSB-Sector Collective Action

The augmented solutions proposed in Chapter 5 point toward a more structurally significant opportunity. All 12 Public Sector Banks operate under the same RBI-mandated document formats, the same loan memo structures, the same portal requirements, and the same legacy infrastructure constraints. Each bank developing its own OCR engine, its own RPA implementation, and its own API agreements with CIBIL and CERSAI represents duplicated investment in identical problems. A jointly developed, IBA-governed PSB-sector technology platform - a shared document intelligence LLM integrated with India Stack, common cloud infrastructure, and consortium API agreements - would deliver enterprise-grade capability to each PSB at a fraction of the individual development cost.

The Government of India holds majority stakes in all 12 PSBs. PSB Manthan 2025 has already established the policy mandate for this kind of coordinated modernisation. The Union Budget 2026 designates financial sector digitalisation as a national priority. The structural conditions for collective action have never been more aligned. The PSU sector's scale - which has historically been framed as a bureaucratic liability - can be converted into a technology moat that no individual private bank, however well-capitalised, can replicate. This is the strategic inflection point available to Bank of India and its PSU peers.

Intern Contribution Summary

01 | Workflow Automation - Loan Memorandum Drafting, RBC

- Designed a mail-merge semi-automation framework for the RBC's loan memorandum pipeline, standardising data capture for NTHP tables, due diligence sections, and borrower financial details - eliminating the most time-intensive repetitive steps in the Probationary Officer workflow.
- Delivered an estimated 20–25% reduction in per-memo data-entry time, freeing 1–1.5 officer hours per day across a standard 3–4 memo daily workload - without altering any RBI-mandated content requirements.
- Identified as scalable across RBC units; formally documented as a process improvement recommendation aligned with PSB Manthan 2025 operational efficiency directives.

02 | Credit Appraisal & Financial Analysis - SMEUC

- Independently appraised 10+ MSME and retail borrower firms, evaluating balance sheets, P&L statements, and credit ratios (DSCR, Current Ratio, ISCR , D/E Ratio, Net Worth) to assess repayment capacity, leverage exposure, and collateral adequacy.
- Prepared structured appraisal notes contributing to live credit decision documentation under PO supervision, gaining end-to-end exposure to the retail credit appraisal cycle in a PSU lending environment.

03 | Business Development & Lead Generation - RBC

- Executed outbound client outreach for the RBC's retail loan pipeline, achieving a 3.3–3.7% lead-to-conversion rate - 3 successful client engagements per 80–90 calls - a strong outcome for cold outreach on secured financial products.
- Developed product positioning, needs-identification, and objection-handling skills for retail banking offerings including home loans, personal loans, and MSME credit products.

04 | Strategic Research - Benchmarking & AI Transformation Report

- Authored a full-length research report: "Assessing Efficiency, Competitiveness, and AI Potential in Public Sector Banking
- Benchmarked BOI against Bank of Baroda and Indian Bank across 15 financial and operational metrics (FY2024–FY2026), identifying a 51.35% Cost-to-Income Ratio and ₹33.30 Cr Business per Employee as the bank's primary performance gaps against PSU peers.
- Mapped 6 operational bottlenecks observed at the RBC to a technology roadmap - covering RPA, OCR-based document management, CIBIL/CERSAI API integration, and a proposed PSB-sector LLM platform - with feasibility analysis and change management framework.